connect

1. Award: 0.33 points

Companies that purchase inventories that are primarily in finished form for resale to customers are known as:

- Delivering companies.
- → Merchandising companies.
- Manufacturing companies.
- Service companies.

Merchandising companies include wholesale and retail companies that purchase goods that are primarily in finished form. These companies are intermediaries in the process of moving goods from the manufacturer to the end user.

References

Multiple Choice	Learning Objective: 08-01 Explain the types of inventory and the differences between a perpetual inventory system and a periodic inventory system.

2. Award: 0.33 points

Using a perpetual inventory system, the purchase of inventory on account is recorded with a:

- Debit to accounts payable.
- Credit to sales revenue.
- → Debit to inventory.
- Debit to cost of goods sold.

The journal entry to record the purchase of inventory on account includes a debit to inventory and a credit to accounts payable.

References

Multiple Choice	Learning Objective: 08-01 Explain the types of inventory and the differences between a perpetual inventory system and a periodic inventory system.

3. Award: 0.33 points

In a perpetual inventory system, if merchandise is returned to a supplier:

- Purchase returns is credited.
- Purchase discounts is credited.
- → Inventory is credited.
- Inventory is debited.

The journal entry to record return of merchandise to the supplier is a debit to accounts payable (or cash) and a credit to inventory.

References

Multiple Choice	Learning Objective: 08-01 Explain the types of inventory and the differences between a perpetual inventory system and a periodic inventory system.

4. Award: **0.33 points**

Symington Corporation uses the periodic inventory system. At December 31, Year 1, the end of the company's fiscal year, a physical count of inventory revealed an ending inventory balance of $320,000. The following items were *not* included in the physical count:

Goods held on consignment at Murphy Corporation
Merchandise shipped to a customer on 12/30/Year 1 free on board destination (merchandise arrived at customer's location on 1/3/Year 2)
Merchandise shipped to a customer on 12/29/Year 1 free on board shipping point (merchandise arrived at customer's location on 1/2/Year 2)
Merchandise purchased from a supplier, shipped free on board destination
on 12/29/Year 1, in transit at year-end

Symington's Year 1 ending inventory should be:

- $320,000.
- $332,000.
- → $355,000.
- $379,000.

$320,000 (ending balance) + $12,000 (free on board destination shipment made 12/30/Year 1) + $23,000 (goods held on consignment).

References

Multiple Choice	Learning Objective: 08-01 Explain the types of inventory and the differences between a perpetual inventory system and a periodic inventory system.

5. Award: 0.33 points

Under the *gross method* of accounting for purchases:

- The purchase of inventory is recorded for its full amount.
- The amount paid for inventory during the discount period is the full amount of the purchase minus the discount.
- The amount paid for inventory after the discount period is the full amount of the purchase.
- → All of the other answer choices are correct.

Under the gross method, a purchase is recorded at its full (gross) amount. If the amount is paid during the discount period, the discounted amount is paid. If payment is after the discount period, the full amount must be paid.

References

Multiple Choice	Learning Objective: 08-03 Account for transactions that affect net purchases and prepare a cost of goods sold schedule.

6. Award: **0.33 points**

A company purchases inventory on account for $45,000 with terms $\frac{2}{10}, \frac{n}{30}$. Under the *net method* of accounting for purchases, the purchase would be recorded at:

- $45,000.
- $36,000.
- → $44,100.
- $40,500.

$45,000 − ($45,000 × 2%) = $44,100.

References

Multiple Choice	Learning Objective: 08-03 Account for transactions that affect net purchases and prepare a cost of goods sold schedule.

7. Award: 0.33 points

Sanfillipo, Incorporated, had 800 units of inventory on hand at March 1 of the current year, costing $20 each. Purchases and sales of inventory during the month of March were as follows:

Date	Purchases	Sales
March 8		600 units
March 15	400 units @ $22 each	
March 22	400 units @ $24 each	
March 27		400 unit

Sanfillipo uses the *periodic* inventory system. According to a physical count, 600 units were on hand at the end of March.

The cost of inventory at the end of March applying the *FIFO* method is:

- $12,900.
- → $14,000.
- $14,400.
- $12,000.

400 units @ $24 each + 200 units @ $22 each.

References

Multiple Choice	Learning Objective: 08-04 Differentiate between the specific identification, FIFO, LIFO, and average cost methods used to determine the cost of ending inventory and cost of goods sold.

8. Award: 0.33 points

Sanfillipo, Incorporated, had 800 units of inventory on hand at March 1 of the current year, costing $20 each. Purchases and sales of inventory during the month of March were as follows:

Date	Purchases	Sales
March 8		600 units
March 15	400 units @ $22 each	
March 22	400 units @ $24 each	
March 27		400 units

Sanfillipo uses the *periodic* inventory system. According to a physical count, 600 units were on hand at the end of March.

The cost of inventory at the end of March applying the *LIFO* method is:

- $14,400.
- → $12,000.
- $12,900.
- $14,000.

600 units @ $20 each.

References

Multiple Choice	Learning Objective: 08-04 Differentiate between the specific identification, FIFO, LIFO, and average cost methods used to determine the cost of ending inventory and cost of goods sold.

9. Award: 0.33 points

Sanfillipo, Incorporated, had 800 units of inventory on hand at March 1 of the current year, costing $20 each. Purchases and sales of inventory during the month of March were as follows:

Date	Purchases	Sales
March 8		600 units
March 15	400 units @ $22 each	
March 22	400 units @ $24 each	
March 27		400 units

Sanfillipo uses the *periodic* inventory system. According to a physical count, 600 units were on hand at the end of March.

The cost of inventory at the end of March applying the *average cost* method is:

- $14,000.
- $12,000.
- $14,400.
- → $12,900.

Average cost of purchases = $21.50 each = [(800 × $20) + (400 × $22) + (400 × $24)] ÷ 1,600 units. Ending inventory = 600 units @ $21.50 each.

References

Multiple Choice	Learning Objective: 08-04 Differentiate between the specific identification, FIFO, LIFO, and average cost methods used to determine the cost of ending inventory and cost of goods sold.

10. Award: 0.33 points

Which inventory method typically most closely matches the actual flow of inventory being sold?

- Average cost.
- LIFO.
- → FIFO.
- Weighted-average cost.

Companies often sell the oldest goods in inventory first. The FIFO method best mirrors the physical flow in these situations.

References

Multiple Choice	Learning Objective: 08-05 Discuss the factors affecting a company's choice of inventory method.

11. Award: 0.33 points

In a period of declining costs, the use of which of the following inventory cost methods would result in the highest ending inventory?

- Weighted-average cost.
- Average cost.
- → LIFO.
- FIFO.

The later, lower costs would be matched against revenue, leaving the higher, earlier costs in inventory.

References

Multiple Choice	Learning Objective: 08-05 Discuss the factors affecting a company's choice of inventory method.

12. Award: 0.33 points

Identify the statement below concerning the *LIFO* inventory method that is *untrue*.

- The ending inventory under LIFO will tend to approximate replacement cost.
- In the absence of changes in costs, the results of using LIFO would be identical to those obtained by FIFO.
- LIFO will provide a close matching of current revenues with current costs since the most recent costs are expensed first.
- In periods of declining costs, cost of goods sold using LIFO will produce a lower cost of goods sold than FIFO.

Ending inventory under FIFO will tend to approximate replacement cost because units are priced using the most recent acquisition costs.

References

Multiple Choice	Learning Objective: 08-05 Discuss the factors affecting a company's choice of inventory method.

13. Award: 0.33 points

In Year 1, a company reports inventory under LIFO for the amount of $128,000. Inventory would have been reported for $140,000 if the company had reported using FIFO. In Year 2, the company calculates ending inventory under LIFO to be $137,000 and under FIFO to be 155,000. Which of the following correctly records the LIFO reserve adjusting entry at the end of Year 2?

- Debit cost of goods sold and credit LIFO reserve for $18,000.
- → Debit cost of goods sold and credit LIFO reserve for $6,000.
- Debit inventory and credit retained earnings for $18,000.
- Debit retained earnings and credit LIFO reserve for $6,000.

The LIFO reserve needs to be adjusted to reflect the increase in the reserve during Year 2. In Year 1, the LIFO reserve equals $12,000, the difference between FIFO and LIFO ending inventory, and would have been adjusted to that amount at the end of Year 1. In Year 2, the LIFO reserve needs to increase to $18,000, the difference between FIFO and LIFO by the end of Year 2. This means a $6,000 adjustment to the LIFO reserve (contra asset) is needed at the end of Year 2.

References

Multiple Choice	Learning Objective: 08-06 Understand supplemental disclosures of LIFO reserves and the effect of LIFO liquidations on net income.

14.

Award: **0.33 points**

A company had a decrease in the LIFO reserve during the year from $40,000 to $30,000. Which of the following would be true (ignore tax effects)?

- Reported profits are higher under LIFO than under FIFO by $10,000 for that year.
- Ending inventory is higher under FIFO than under LIFO by $30,000 at the end of the year.
- Cost of goods sold is higher under FIFO than under LIFO by $10,000 for that year.
- → All of the other answers are true.

If the LIFO reserve decreases in a year, the LIFO reserve decreases with a debit. The corresponding credit would be to cost of goods sold. In this situation, when cost of goods sold is decreased, profits are higher. This situation demonstrates that even though reported inventory is lower under LIFO than FIFO, LIFO profits might be larger than FIFO profits when the LIFO reserve decreases during the year.

References

Multiple Choice	Learning Objective: 08-06 Understand supplemental disclosures of LIFO reserves and the effect of LIFO liquidations on net income.

15. Award: 0.38 points

For its fiscal year, the King Pharmaceutical Company reported sales of $10,500,000, cost of goods sold of $6,300,000, and net income of $525,000. The company's gross profit ratio for the year is:

- → 40%.
- 67%.
- 5%.
- 60%.

($10,500,000 − $6,300,000) ÷ $10,500,000

References

Multiple Choice	Learning Objective: 08-07 Calculate the key ratios used by analysts to monitor a company's investment in inventories.